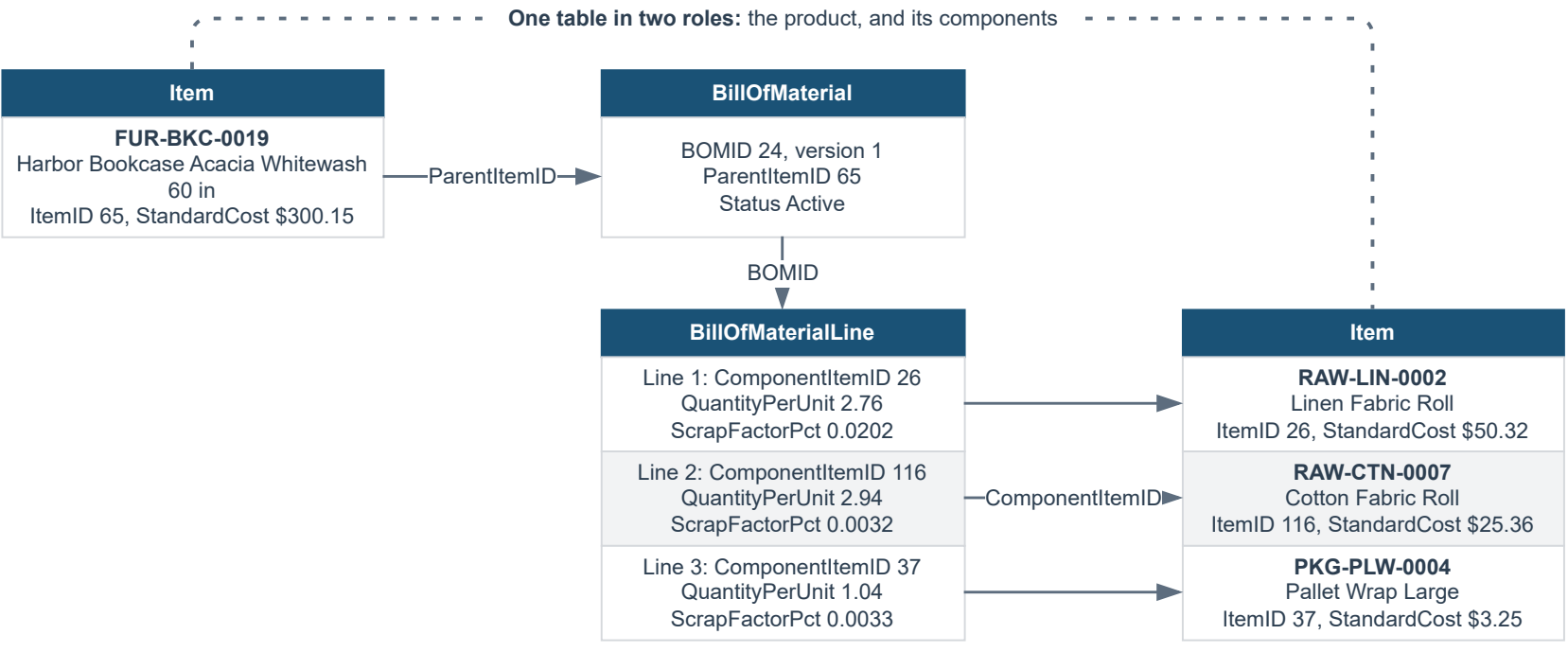


The roll-up of Step 3, line by line

Component	QuantityPerUnit	× (1 + ScrapFactorPct)	× StandardCost	= cost of the line
RAW-LIN-0002 Linen Fabric Roll	2.76	1.0202	$50.32	$141.69
RAW-CTN-0007 Cotton Fabric Roll	2.94	1.0032	$25.36	$74.80
PKG-PLW-0004 Pallet Wrap Large	1.04	1.0033	$3.25	$3.39

Material cost
the lines added up: $219.88

+

Conversion cost
StandardConversionCost: $80.27

=

Standard cost
StandardCost of FUR-BKC-0019: $300.15

Without the scrap factor the material cost is $216.82 and the roll-up does not reproduce the standard cost. The two Item boxes are drawn alike because they are one table: ParentItemID and ComponentItemID are two foreign keys to ItemID.